



RX INTERVIEWS

**DISTRESSED DEBT
ANALYSIS (MOYER) Q&A**

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INTRODUCTION

A Note Before Beginning...

Distressed Debt Analysis: Strategies for Speculative Investors by Stephen Moyer is the most popular book in the world of RX. It's also been, historically, the corner piece of Wharton's undergraduate / graduate RX class.

The following are a series of questions and answers developed from *Distressed Debt Analysis*. Some are merely interesting facts – worth reading, but not necessarily committing to heart – and others are absolutely essential to know.

The questions that are most important to know will have longer answers and explanations that I've tied to them.

Even though these questions and answers cover what I believe to be the most important topics covered in the book, you should still read Moyer's book when you have time. Just keep in mind that it was written in the early 2000s, so there are antiquated bits to it.

Number of Q&A: 145

1 From the period of 1999-2002 how many Chapter 11 or Chapter 7 filings were there over \$100m?

439 with assets greater than 100m. For at least 13, it was their second visit (Chapter 22). For 6, it was their third (Chapter 33). Chapter 11 cases have grown tremendously since then as the U.S. corporate world has grown as well.

1 What causes the three strikes you're out in bankruptcy?

This refers to so called Chapter 33s. After their third trip to doing a Chapter 11, it appears they are destined to be liquidated so will be forced to file Chapter 7.

1 What is Magellan case?

Was a behavioral health company. TPG got destroyed on preferred shares. Went into Chapter 11 and Onex bought it out and relisted. \$22 was the low for subordinated and \$60 was the low for senior secured. Was a great outcome for Onex and a key story of the early 2000s. [Read more here.](#)



1 How many grades in Moody's and S&P? What's the investment grade cut off?

10 in each. BBB and Baa for S&P and Moody's, respectively, delineates what's investment grade and what's speculative.

1 Why are credit ratings not that great of an indicator for distress?

They are lagging indicators.

1 What was Martin Fridson's definition of distressed debt?

Yield to maturity greater than 1000 basis points more than the comparable underlying treasury.

For example, if the 5yr treasury is trading at 0.37% then Fridson's definition would be 10.37%.

Fridson is legendary in the distressed space. [Read more about him here.](#)

1 What was average credit risk spread from 1983-2000?

487bps (credit risk spread is based off of the underlying treasury). In recent years, post-GFC, it has been much tighter.

1 How does Moyer describe distressed debt?

Believes it's hard to give a real definition (which is true!), but generally stock below \$1 and discount of at least 40% off par for the bonds, if public. If private, then obviously you won't have equity prices.

Remember: how do you check bond and loan prices in RX? MarkIt and sometimes Bloomberg.

1 What blocks do bank debt and corporate bonds generally trade?

5 mil and 1mil, respectively.

1 When have there been a lot of defaults?

1931-33, 1970, 1990-1991, 2000-2002, 2007-2009, 2020-?

Tip: When speaking to more senior people in particular it's fantastic to have a sense of history about when there has been lots of RX activity.



1 During times of distress how many defaults likely occur as a percent annually?

3.5% generally. In 1991 got to 6.1%. During “good times” can be 1-1.5%

1 Chances a C-rated bond defaults?

In one year 33%, in three years 65%.

Note: It’s important to understand this point, especially given the incredibly tight credit spreads we’ve seen in the distressed space from 2010-2020. Part of the reason why you keep the screens and profiles updated is that the majority of companies with C-rated bonds will eventually need to be restructured. It’s a matter of when, not if.

1 What are CDOs / CLOs?

Entities that seek to make above average returns by making leveraged investments in a portfolio of high yielding bonds (CDOs) or highly leveraged loans (CLOs).

The basic strategy is to create a waterfall whereby the highest tranche will get the highest credit rating (almost always AAA) because it has first claim on the income stream from *all* the underlying portfolio of bonds (CDOs) or loans (CLOs).

CDOs have a relatively low average cost in order to finance 85-90% of the total purchase of a diversified portfolio of high yield collateral. Equity will fund the rest.

Note: CLOs are still a very active and important market. CDOs have fallen out of favor in their issuance volume post-GFC.

1 What needs to occur for a CDO to make economic sense?

It must be done when the borrowing cost relative to the collateral yield provides sufficient spread such that equity can end up getting a relatively healthy return. Equity can’t just be a loss absorber.

1 What percent of leveraged loan market do CBOs and CLOs hold?

25% each or so. The percentage of low rated corporate loan and bond market held by CDOs has increased from 3% to 20%.

Note: Guggenheim has a great overview of CLOs updated in 2019. [Read it here.](#)

1 How do CDOs end up getting high credit ratings (beyond just the waterfall dynamic)?

Accomplished by limiting concentration in any particular credit, industry, or credit quality.



1 When can mutual fund investors withdraw funds?

Any day. So, need to keep portfolio liquid so this dynamic can give you irrational selling in distressed debt market.

Note: You're seeing this in March 2020 with COVID-19 roiling the market. You're seeing so-called "fallen angels" starting, which is when a BBB company gets downgraded (so goes from IG to HY) and as a result you have mutual funds with only an IG mandate liquidate their holdings.

1 Why does Efficient Market Theory (EMT) not apply to distressed debt?

1. All counterparties do not have access to the same info (information asymmetry)
2. Many investors may have forced liquidations during highly volatile periods (e.g. the fallen angel phenomenon), which is objectively irrational but done because of their mandate
3. Have large transaction costs (bid/ask spreads wider than in IG or equity) with much worse liquidity

1 Are market values relevant to GAAP?

No.

1 Very simply put: when does restructuring need to happen?

When you get into having negative shareholder equity (SE) you need to readjust your capital structure by either making assets worth more (relatively hard) or reducing down debt obligations (relatively easy).

1 What happens in out-of-court restructuring?

Creditors typically either negotiate a change in terms of existing obligations or complete a voluntary exchange of financial interests.

Example: You have senior secured bonds that are trading at distressed levels and maturity is coming up. You raise a new 2L (second lien security), give 80% of the value of the bonds to bondholders in the form of the new 2L, and ask them to absorb the 20% in their lost value. So, if they held \$100m in bonds, you're giving them a new "financial interest", senior to where they were before, worth \$80m. This may not seem enticing, but maybe bondholders believe their recovery value in a Chapter 11 would only be 40% (equivalent to \$40m). If creditors believe this can help right-size the company and not make them take an even bigger hit down the road, they may be enticed.



1 When is complete liquidation (Chapter 7) preferable?

When little stable cash flow currently or are likely to require additional capital infusions in the future no matter what the restructuring is.

Remember: if the company has negative FCF into perpetuity, no “right-sized” capital structure will make a difference!

1 Who are indenture trustee?

An indenture trustee is usually a bank acting in a custodial capacity for those who bought bonds from them. Will tend to only do what they are clearly obliged to do under the indenture.

1 What are bondholder committees and their rights?

Basically, in an out-of-court scenario you'll have bond-holders band together in what's called a bondholder committee in order to negotiate with the company as to what they will accept in an out-of-court restructuring scenario. This committee will often hire a bank to help them do analysis, coordinate, etc. and this is how RX shops get creditor mandates!

Typically, then a large bondholder will take the initiative to contact other significant bondholders and solicit their participation in an informal bond holder committee to negotiate on behalf of the overall bondholder group. This group will then hire a bank.

Can't force anyone to do anything out-of-court but can get non-public info to make better informed decisions. Company pays for legal and associated expenses of the committee.

This all sounds great, but there's a downside. This downside is the reason some distressed funds won't join a committee (because they will have to disclose when they buy or sell securities).

1 Downside of being on bondholder committee?

Sign confidential agreement and will then have to disclose when selling or buying securities of the firm. Also, can't tell others about non-public info (of course!). The bondholder can't be unrestricted until filing of non-public info to public via 8-K, 10-Q, or 10-K.

[This is a great article](#) about CIT Group Inc. and their bondholders committee negotiations from way back in 2009 when lots of interesting restructurings happened. Houlihan Lokey advised the bondholders.



1 What is big boy letter?

1. Acknowledgment by the non-restricted party that he or she is aware that the is in possession of nonpublic info
2. Waiver of claims that non-restricted party might otherwise have under securities laws because of the restricted party's possession of nonpublic info

1 How can you try to resolve without requesting bond holder committee to be reformed?

Negotiated bank debt restructuring and then issue a tender offer to existing bond holders. If enough bond holders take the tender, then you can force the restructuring through.

So, to be clear: you can either negotiate with bondholders (who form a committee and usually hire an RX shop to advise them) or the company can issue a tender offer and hope to get uptake on that from all the individual holders of bonds.

It's easier with a committee as then you have everyone on the same page and essentially just have one counterparty.

1 How can you ensure against holdouts out-of-court?

Try to strip away protective covenants if a majority accept the tender. Can also combine exchange offer with a solicitation of support for prepackaged Chapter 11 (called a "pre-pack").

This legitimatizes the threat of bankruptcy to holdouts and in the event of a Chapter 11 filing is required, it minimizes the related costs and expedites the time the firm is in bankruptcy (a pre-pack can be completed in a month or so).

1 What acceptance rate do exchange offers need (for an out-of-court restructuring)?

Typically exchange offer needs 90% acceptance.

Example: you want to exchange senior bond holders into a new 1L (first lien term loan), *but* you want them to take a 30% haircut. So, if \$100m bonds outstanding you give them \$70m worth (distributed evenly, of course) of the 1L. If 90% accept then you can push this deal through.

1 What is an involuntary petition?

An involuntary petition is when the creditors themselves force a company into a Chapter 11. This can be done because of a technical default (broke their covenants). The vast majority of the time company itself files voluntary petition.



1 What are tell-tale signs of a company filing for bankruptcy?

1. Draw down all the revolver (to have as much cash as possible when going in)
2. Stop making cash interest payments (this is why in all our cap tables we say cash interest, we care about money flowing out)
3. Blow through covenants (who cares about leverage ratios when you're about to file)
4. Arrange post-bankruptcy financing proposals (to make the Chapter 11 process as quick as possible)

1 What is the official committee of unsecured creditors?

Appointed by U.S. trustee and under the bankruptcy code it is supposed to consist of the largest creditors who are *willing* to serve.

Note: some creditors will not willingly serve because of the obligations service has regarding getting confidential information and trading limitations associated with that.

1 The amount of a secured claim is limited to..?

Lesser of the amount of the claim or the value of the creditor's collateral. To the extent a secured creditor has collateral worth less than its claim, this deficiency becomes part of the pool of general *unsecured* claims. This means that a creditor secured by a second lien on collateral may find that its claim is deemed to be entirely unsecured if the amount of the claim secured by the *first* priority lien exceeds the value of the collateral.

Example: If there is a 1L (first lien loan) of \$100m and the company has the capacity to cover that, then they are not "impaired" and have no unsecured claim (they are simply made whole). If there is a 2L (second lien loan) that is \$100m but the company can only cover \$50, then they have a \$50 recovery and \$50 in a general unsecured claim. So in essence the collateral was worth \$150 despite there being a lien of \$200 against it.

1 What do amounts payable to employees fall under? Lawyers?

Lawyers under admin claims and employees under priority claims. Priority claims are senior to traditional capital structure.

1 What's priming?

For example, Debtor in Possession (DIP) financing gets superior claim to all others out of a Chapter 11. This primes everyone else in the capital structure, but you have to prove it doesn't impair secured holders.

So priming is just when a new piece of the capital structure is added to above existing pieces.



1 What's a rollup?

A rollup is where pre-petition secured lenders offer DIP financing to the company. Meaning, for example, an existing 1L loan lender will also offer the DIP.

1 How do you calculate the amount of DIP you can give?

If have \$50 claim on AR but worth \$150 then $\$150 - \$50 = \$100$ is the possible DIP. You essentially look at traditional borrowing bases and say, "what is left that can be pledged against a new DIP loan?"

1 What is critical vendor motion?

When you pay vendors their prepetition claims in order to ensure their ongoing affiliation with the debtor.

In layman's terms, let's say I have a supplier who is critical to my business. I file Chapter 11, but I can't continue my business in any capacity without this supplier, so I'm allowed to free up cash to pay this vendor after filing a motion.

All vendors who are not critical have an automatic stay put on their capacity to collect their debts from me. In other words, if you're critical your bills get paid, if you aren't critical you have a general unsecured claim and good luck getting any recovery of that money.

1 What are voidable preferences?

Involve payments or other transfers (such as grants of liens) in payment of antecedent debts owed to creditors in the period immediately prior to the filing. The relevant look back period is 90 days unless the creditor is an insider, in which case it's a year.

In layman's terms, this means if creditors think I made a payment just before bankruptcy in order to pay off debts to a creditor that wasn't necessarily warranted, these payments can be voided (the creditor has to pay them back).

1 What is fraudulent conveyance?

Like voidable preferences, fraudulent conveyance is essentially a general tort claim that is codified in the bankruptcy code and under state law.

Means that the debtor did not receive fair value in the transaction in question at the time or was insolvent at the time of the transaction. Hard to litigate as fairness opinion covers you (as you should know from your M&A studies).

You may want to read the actual Chapter 11 code [here on this](#).



1 The bankruptcy code provides debtors with powerful tools to eliminate or minimize liabilities in Chapter 11 like?

1. Reject executory contracts and unexpired leases
2. Consolidate and effectively value tort liabilities like asbestos or other class action liabilities
3. Tort claims against debtor are the result of actions taken by debtor prior to bankruptcy. Claim then recognized as unsecured and resolved within Plan of Reorganization (POR).

1 What two valuations are done in confirmation process of a plan of reorganization (POR)?

Liquidation analysis and going concern enterprise value (EV).

A liquidation test is done so that no party gets less than they would if the company just liquidated instead of reorganizing. This should make intuitive sense: if you can make more money just selling off all the assets of the company then you can by reorganizing, then why bother reorganizing?

An EV test is done to see what the company is really worth and thus what part of the capital structure will be impaired. Since you aren't liquidating the company, it's impossible to know with certainty who the impaired class is and just how impaired they are. That's why fights over valuation in RX are so pernicious; you're applying an inexact science (valuation) and that determines who will end up getting made whole, who gets impaired, and who gets nothing.

1 What are the three tests the bankruptcy code subjects the plan of reorganization (POR) to?

1. Consent or cram down test
2. Good faith test
3. Feasibility test

1 What's a cram down?

Process by which a plan of reorganization (POR) is imposed on an impaired class that has voted to *reject* the plan. Can be done by the court if at least one impaired class (not including insiders) votes for the POR.

Cram downs are done to avoid having one block of votes filibuster the capacity for a company to get out of Chapter 11.

[Here's a good piece from Skadden](#) on recent legal battles over cram downs. You'll be shocked to find out that this is a legally contentious issue.



1 If debtor wants to provide some tiny amount of value to existing equity holders what does it need to get from all impaired classes?

Obtain the consent of, or provide full recoveries for, all impaired creditors or the plan will fail as it would represent a violation of the absolute priority rule.

In most Chapter 11's – theoretically – equity gets nothing. This makes sense as they are obviously at the very bottom of the capital structure. However sometimes current equity holders will be thrown a bone (this is called a “tip”; “tipping equity” means you’re giving existing equity 1-2% of the newly reorganized equity).

1 What is the real point of EBITDA theoretically?

Estimate the result of a future cash flow projection.

1 Why do you adjust for interest expense in EBITDA?

Reflects a decision to use debt in the capital structure and the firm’s value should be considered independent of capital structure.

1 Why do you add back rent expense to EBITDA?

Because if they owned the buildings outright, they would have more favorable EBITDA. Create EBITDAR. Increase balance sheet debt by capitalized value of operating leases, which is equivalent to using future rent expense to calculate PV of an annuity.

1 Why are taxes added back to pre-tax income?

Reflects the impact of interest expense and D&A that can cause distortions in amount of tax paid.

1 What are NOLs?

Operating losses that can be carried forward or back to shield future tax payments. When there is a significant likelihood of future earnings and magnitude and timing of the tax savings from NOL carry forwards can be reasonably estimated, a deferred tax asset will be recognized by GAAP.

1 EBITDA calculation?

Net income + taxes + int expense + D&A



1 What does EBTIDA fail to do?

1. Fails to reflect changes in working capital
2. Does not reflect the need to make cap ex
3. Often needs adjustments to reflect one-time charges.

1 How can you get good multiple for figuring out what to multiply EBITDA by without using a DCF?

$$\sum_1^{25} \left[\frac{CF * (1 + g)^n * \frac{1}{(1 + DCR)^n}}{CF} \right]$$

CF= cash flow, g = growth rate, DCR = PV discount rate, and n= period.

1 After 15 periods how much does each additional period add when getting multiple for FCF proxy?

Just 2%. Another way to say this is that after 15 periods in a DCF, how much value of EV comes from 15 periods off into perpetuity: usually just around 2%. Cash flows in the near-term matter much more than those far out.

1 What is enterprise value?

Market indicated value of a business adjusted to consider debt and cash. Most simplistically, equity value + debt – cash = EV. See Accounting & Valuation Q&A for more details.

1 If firm is in financial distress, then it may be more appropriate to value debt how for EV?

At market prices, not at face value. Also remember preferred shares (minus dividends accrued) should be added to debt.

Note: This is why, in practice, our cap tables have leverage ratios using both face value of debt and market value.

1 How are zero coupons determined in EV calculation?

Valued at accreted or carrying value if investment grade and at market value if the issuer is considered distressed.



1 Why is cash taken off of EV?

Decision by firm to hold cash rather than pay down debt is a strategic financial decision. If firm A holds cash while firm B pays down working capital with cash, then if no adjustment firm B would appear to have a higher EV even though they are equal with cash taken out.

1 Difference between IRR and DCR?

IRR is the dependent variable calculated based on the independent variable of price. The present value, or price, is the dependent variable calculated based on the independent variable DCR.

1 What kind of EBITDA multiples do financial and strategic buyers normally pay?

No more than 6x for financial, 6-10x for strategic in today's markets.

1 What are borrowing bases?

An asset backed lending (ABL) facility can be obtained with the amount you can draw from this facility being a set percent of the underlying asset the ABL is collateralized against.

Note: ABL is just a revolver.

The borrowing base is how much can be borrowed against this asset (the asset is really just a line item on the balance sheet). For example, a typical ABL will be defined as having a borrowing base comprised of 50% inventory or 75% eligible receivables. The point is that collateral should cover loans no matter what so you can't just use the line item on the balance sheet.

1 What is credit capacity?

How much debt can be supported by the firm's operating cash flows alone.

1 What's asset coverage?

Just assets/debt. You will often see asset coverage shown through the capital structure, so how do the assets cover the 1L term loan, what about the 1L term loan and the rest of the secured creditors, etc.



1 What's one way to add debt when there is insufficient asset coverage?

Preferred equity. Can be converted, at the issuer's option, into true debt. Mandatory redemption features (have to be repaid) and blur the line with debt. Failure to make a dividend or redemption payment has limited repercussions so some argue not true debt (for example, can't have a technical default with preferred debt). Usually issued when leverage very high. Also, could do convertible bonds.

1 What are convertible bonds?

Like preferred stock, convertible bonds are issued by distressed companies to get around asset coverage issues.

Feature allowing the holder to convert the face amount of the bond into specified number of shares. Share price to convert is significantly above the share price at the time the bond is issued. Expected for stock to increase above the issue price and then convert and can cash out gain. Of course, if stock declines in value then the convertibility option become worthless, but the debt is still valid, and coupons can be clipped and hopefully principle will be repaid (called busted converts when this occurs).

Note: Convertible bonds normally reside quite far down in the capital structure (unless you have very limited debt in the capital structure). So, if a company near distress issues it you are betting on a turnaround, because if the company files you will likely be severely impaired (get back a low % of total invested into the converts).

1 When you can't make interest coverage what can you do?

Issue discount notes or PIK notes. Under GAAP interest expense is still recorded on the income statement, but each structure is essentially allowing the cash payment on the interest to be deferred until maturity.

1 Four ways of granting priority?

1. Grants of collateral
2. Term structure
3. Contractual provisions
4. Corporate structure.

1 What is security agreement?

A security agreement is the agreement whereby collateral rights are generally granted. Part of the primary lending agreement.



1 How can subordination happen legally?

Only occur through express provisions in the bond(s) being subordinated. This is a non-money clause so just need majority (50%+) consent. This is important to remember and why many distressed funds will go and get 50% of a certain issue so they can block subordination attempts.

1 When things are capitalized like “Senior Notes” what does it mean?

It means you’re referring to an actual class of notes, not making a generalized comment about some senior notes. If there are two kinds of senior notes you refer to them by the year of maturity or percent of the coupon. For example, “We’re looking at getting the 2022 Senior Notes not the 2024 Senior Notes.”

1 What is a guaranty?

Contractual promise to pay the obligation of another.

1 What is nonrecourse provision?

States that in the event of a default on the loan, the lender has no right to attempt to recover from certain persons. Opposite of guaranty.

1 What are two *priority* related covenants?

Restricted payment provisions and negative pledge clauses.

Restricted payment provisions look to limit the firm from distributing assets to third parties to the detriment of the creditor.

Negative pledge clauses are clauses in which a lender’s priority can be compromised (particularly if they are unsecured) by giving other secured creditors liens on security interests in certain assets. Hurts unsecured as can go make pledge against something like working capital and deteriorate what goes to unsecured in a liquidation. Negative pledge clauses ensure you must also give existing unsecured debt holders benefits of that pledge too.

1 What is forced call?

The borrower must offer to repay obligation if a downgrade occurs.

1 How much does corporate tapings cost?

35-40k for 100m bond issue. But annual fee for maintenance of the rating.



1 What a common statistical model for finding distressed debt?

Created by Edward Altman, called the [Z score model](#).

$$Z = 0.012 X1 + 0.014X2 + 0.033X3 + 0.006X4 + 0.999X5$$

- X1 = working capital/total assets
- X2 = retained earnings/total assets
- X3 = EBIT/total assets
- X4 market value of equity / book value of liabilities
- X5 sales/total assets

Z scores of < 1.81 are likely to be bankrupt in 2 years. Z scores > 3 are credit stable.

1 What do credit measures in Z score measure, intuitively?

- (WC/Total Assets) tests relative liquidity
- (Retained Earnings/Assets) measures cumulative earnings power and has a tendency to favor firms that have been profitable for awhile
- (EBIT/Total Assets) take into account the cash flow generating capability of firm
- (Sales/Total Assets) suggest if a firm can generate above average sales per dollar of investment it has significant credit advantage

1 What are tort claims?

Liabilities associated with generalized class action lawsuits surrounding things like silicone breast implants, asbestos, tobacco, and silicosis.

1 What issues can arise from contract liabilities?

Contract liabilities can cause Chapter 11 processes to gum up over how the claims are treated. Usually have to be handled one-by-one.

1 What do negative pledge provisions often have?

Significant carve outs that will be stated either in absolute or in relative amounts. These carveouts essentially define how much cash the firm can raise on a secured basis.

In other words, they'll put a limit on how much secured debt can be raised, for example. Sometimes this will be referred to as the "secured debt basket". The current revolver or term loan lenders obviously don't want a lot of debt to be around them in the capital structure because perhaps the assets of the company deteriorate in value and suddenly no one has asset coverage.



1 Why might you do a leaseback?

Leases appear as off-balance sheet line items, so they make leverage look lower. This is a clever and popular financial engineering tactic to lower leverage.

1 How can you reduce leverage through purchasing debt at discount?

- Open market operations (buying in the secondary market from market-makers)
- Direct purchases (say from pension funds that you know are holding your debt)
- Put out tender offer (and those interested will come to you directly)

1 What is the modified Dutch auction that is used for many cash tender offers?

Firm will offer to purchase a specified face amount of bonds at a clearing price within a specified price range (pure Dutch auctions have no specific price range). So, you determine the minimum price (clearing price) and all bonds tendered at that price or less.

1 The secured creditor's right to demand what can be used to demand post petition interest?

Adequate protection. Adequate protection also can limit what a firm can do with the assets pledged as security (which usually is almost all assets).

In layman's terms, a secured creditor of a company filing for Chapter 11 rightly thinks to him or herself, "How much are the assets of the company really worth? Maybe in a Chapter 7 I'd only get 60% of the face value of the assets in cash?" so they will demand "adequate protection" to ensure they have proper asset coverage.

1 What's the general rule around secured bank debt and how it related to opportunity for distressed investor?

Less control and opportunity the more secured bank debt you have.

1 What happens when bank debt trades below 70?

Banks and CDOs are much more likely to become sellers, often for non-value related reasons (e.g. CDOs have mandates for types of debt they hold, banks have risk weighted asset (RWA) considerations that make holding distressed debt very expensive). In these situations, there exists opportunities to accumulate bank debt at cheap prices not because the value isn't there, but because folks have just needed to get out of it.

1 What's a participation agreement?

Buyer purchases the seller's economic interest in and control over the bank debt, but the seller continues to remain the record holder. Often bank debt purchases are structured as participants specifically because the buyer does not want his or her identity known.



1 What's convertible bond arbitrage?

You long the convert, but short the stock. If the stock falls in value the long convertible position will decline but be offset by a gain in the short stock position. This can lock in coupon income with potentially minimal net capital investment (because proceeds from short stock sale largely fund the convertible bond investment).

1 What's a short sale?

An investor borrows the security from another holder and sells it in the market. At some point in the future – the timing will not always be within the short seller's control as the party that "lent" that security can demand its return at any time – the investor must repurchase the security so that it can be returned to the lender.

1 Can shorting be done with bonds?

Yes. The *security lender* pays all coupons (since the bond has been sold, the lender will not be the record owner and coupons will be paid to whomever purchased the bond). The *lender*, who in many cases may not even realize that the securities have been loaned, will expect to receive coupons and this becomes part of the short seller's investment cost. Short seller of stock has similar obligation in event of dividend payments on sold shares.

1 If long 5.5% bond and short a 9% bond what is your carry?

Negative 3.5%. For example, over a six-month time horizon of investment, assuming an equal amount of bonds in both the long and short position, investor will have to *pay out* a net 1.75%. Negative carry must be more than made up for in offsetting bond price movements to keep it profitable. In other words, the appreciation of the long bond position relative to the short bond position must make up the carry being paid out.

1 What's the way distressed investors approach making investment decision (four steps)?

1. Analyze the most recent financials to determine the capital structure. Determine total debt and relative priority given the legal (security and seniority) and structural (operating versus holding company) considerations
2. Value the capital structure given market trading prices
3. Analyze recent EBITDA trends and determine the relative leverage (on EBITDA multiple basis) of the various levels of the capital structure at both face and market value
4. Consider whether, given conservative or appropriate industry valuation metrics, the business is likely worth more than current trading levels.

Note: Step 1-3 are included in every cap table.



1 What should you do in order to do financial due diligence?

- Financial analysis of recent historical info (say five to ten years)
- A projection of the firms future operating prospects (at least to point of actual financial distress is predicted where bankruptcy may be forced)
- Do a corporate organizational chart
- Do a valuation analysis of comparable companies (get valuation range) this can be just EBITDA multiples through the cap structure
- A liquidation analysis (how much would the assets be if sold off)
- Create a general industry outlook and analysis of the firm's position (more qualitative)

1 Where do you get all the legal briefs or other documents for a bankruptcy case?

PACER. Charges small fee.

Note: Remember that these questions are developed from the text of Moyer, so there are certain elements that are dated. For example, in the early 2000s, when Moyer was writing, you'd use PACER for most everything. However, nowadays every large case will have a claims agent (e.g., Kroll, Epiq, etc.) that provides a well-organized docket that's free to access. For any large filing, you can just Google "[Company Name] docket" and it'll come up. For example, here's Endo's: <https://restructuring.ra.kroll.com/endo/> and here's Lumileds: <https://dm.epiq11.com/case/lumileds/info>

1 What's of initial interest in a bankruptcy filing found via PACER or wherever?

- Initial petition and related schedules and all subsequently filed monthly operating reports.
- Debtor's schedule of 20 largest unsecured creditors; this gives insight into unsecured creditor committee (although it's voluntary to serve and some distressed hedge funds will opt not to serve on this committee, as previously mentioned).

1 What does the operating statement found though PACER (or wherever) give you?

Requires info relating to next 30 days on cash available for operations, estimated cost of operations, estimated profit and loss, and how the debtor intends to fund operations. Following prospective statement, the debtor files monthly operating reports covering operating profitability, a reconciliation of beginning and ending cash, an analysis of changes in assets such as inventory or items liquidated to raise cash, an itemized list of accrued but unpaid liabilities. Usually very little balance sheet info.

1 What else can be initially filed with the court beyond operating statements?

Preferential payments to certain creditors, sale of certain assets, rejections of executory contracts.



1 What are the restrictions on using NOLs to carry forward?

If 50% change in ownership, IRC 382 limits the amount that can be carried forward.

1 Why do you need to lock in NOL before COO if in bankruptcy?

The amount of the limitation will be based on the post-COO equity value not the pre-COO value. This can be beneficial because in the typical case of a bankrupt company, the equity value will be zero. Thus, a COO would result in forfeiture of NOL. In reorganization, plans will almost always have positive equity value under the bankruptcy exception and due to the carry forward limitation rule the NOLs will have some ongoing value.

1 What is substantive consolidation?

Legal doctrine which states that when different entities within a corporate family have been operated in such an interrelated manner that parent-subsidary autonomy was not observed then the entities should be treated as one. Bankruptcy courts are not prone to use this.

1 What three things should you look for in the initial petition for bankruptcy?

- Voidable preferences
- Substantive consolidation
- Structural advantages

1 When could equitable subordination happen?

Maybe a company paid a dividend, a manager took that and invested it in the company in the form of secured debt. Could try to get that insider's secured loan subordinated in right of payment to the trade creditor's claims.

1 What is zone of insolvency?

When a distressed firm's board of directors must begin considering the interests of the creditors, in addition to its normal fiduciary obligation to further the interests of stockholders. In 1990 solidified by Credit Lyonnais v. Pathe Communications. Use one of two tests: either use balance sheet to test (assets < liabilities) or equitable insolvency test (inability to meet obligations in the ordinary course).

1 Ways to protect yourself when buying trade claims?

Only buy those that are allowed by bankruptcy court (takes time to find if they are allowed). A difference involved in purchasing trade claims is the requirement that notice of any transfer be submitted to the bankruptcy court. Furthermore, the transfer must be approved before the purchaser will be deemed a valid holder. State law governs validity of transfers of chattel paper.



1 What has Sarbanes Oxley done for equity holders?

Allows the SEC to (when fraud has occurred) up the equity claim above subordinated and unsecured bond claims (instead of being lowest in capital structure). Essentially allows for equity to prime subordinated and unsecured bond holders when there is fraud.

1 When should you deal with multiple brokers in distressed debt?

When doing small accumulation to get the best price.

Also when you're trying to get a controlling stake in a certain bond/loan, often you'll use just one dealer so you can ensure you don't disseminate your position and have the street find out what you're doing.

1 When trying to gauge what a dealer knows what should you ask?

- Is the dealer the underwriter?
- What does the dealer know about the credit?
- Do they have any research?
- Last time they traded the bond?
- How many bonds has the dealer traded in total?

1 What's "29/31 1 by 1" mean?

\$1m notional of a given bond that the dealer can sell at 29 or buy at 31.

1 When can you size an offer?

Can size an offer when you have legitimate bid. For example, if \$5m offered at \$31 can ask what they'd size at \$30 but need to be willing to take that. In other words, can't just float to a dealer that you'll maybe be interested at \$30 – have to be willing to commit.

1 What are bank debt settlement days?

T+10. Distressed debt bank debt can be 30 days. Delays up to 120 days are fairly common. Typical transfer fee payable to the agent is \$2,500-5,000.

1 How do revolvers work?

For example, a revolver could be \$100m, which can be drawn down and paid back as needed. Many compare it to a corporate credit card. How large a revolver ends up being depends on the amount of collateral, or borrowing base, that's pledged to support the loan. Revolvers are usually secured by borrowers AR and inventory. Borrowing base may be 50% of inventories, 75% of AR, etc.



If the borrowing base declines below a certain threshold (inventory goes down, for example) you must repay the revolver or have it re-sized. Revolvers must always have more collateralized against it than the actual notional value of the revolver.

1 What's the fiduciary duty of DIP?

Debtor becomes DIP and has obligations to equity *and* debt holders.

1 What are the two most common jurisdictions to file a petition in?

Delaware and the Southern District of New York. Lots of case law precedent that allows counsel to better anticipate how various issues will be decided.

1 Can liquidation be done under both Chapter 7 and 11?

Yes. The difference is that under chapter 7, management is removed, and a liquidating trustee is appointed to oversee the process.

1 What are four major steps in Chapter 11?

- Restructuring of the debtor's operations by asset sales and contract assumptions and rejections
- The development and dissemination of a proposed plan (POR)
- A vote on the plan by the claim and interest holders
- Confirmation of the plan by the bankruptcy court

1 Who wouldn't like a pre-pack (pre-packaged bankruptcy)?

Management, out-of-the-money creditors, and equity holders. Management may have significant equity so they want to wait and see if the company gets turned around so they can get a higher EV and maybe have their equity be worth something (or just keep their jobs longer).

1 What's a full prepack?

When a petition is filed it is accompanied by a complete disclosure statement and a proposed plan of reorganization, together with an agreement to support the plan that is binding on a sufficient number of the class to satisfy the applicable voting tests. Increasingly more common. Can take just 45 days. 85-90% participation rate required from the impaired classes.



1 What's a plan support agreement?

Obligates those creditors that sign it to vote for a plan consistent with the terms outlined in the agreement.

For a longer overview of plan support agreements, I put together quite a long blog post on them: <https://restructuringinterviews.com/blogs/restructuring/restructuring-support-agreements>

1 What's fulcrum security?

One that likely receives lots of equity in reorganization. The most senior class of debt that is impaired and not paid in full.

1 What does BRC 363 allow?

Asset sale where the buyer purchases asset free of all liens and claims with little or no risk of the transaction being subsequently unwound. Only debtor can propose to sell assets pursuant to BRC 363. 363 is open outcry bid in person at some location (normally court). Have stalking horse bid to make sure you set minimum amount. Have breakup fee and incremental bids.

1 What's a credit bid?

Creditor can use the credit they have against the firm against the purchase price. So, if the cost of the firm outright is \$80m but had \$50m in collateral they only need to pay cash of \$30m.

1 What tends to draw most lawsuits in chapter 11?

Priority and valuation.

1 On what grounds is priority attacked in chapter 11 with lawsuits?

- Technical defects in the perfection process
- Challenges on voidable preference theorems
- Valuation of the collateral
- Equitable subordination due to lender misconduct

1 How is adequate protections grounded in constitution?

U.S 5th amendment prohibiting the taking without due process.



1 How can adequate protection be provided (Three Points)?

- Lien on additional property
- Cash payments
- Other relief amounting to the equivalent of creditor's liens

Remember, adequate protection is bankruptcy revolves around the fact you want to ensure that secured creditors actually have true asset coverage.

1 When does the requirement to demonstrate and provide adequate protection arise?

- When the debtor requests to use, sell, or lease the collateral
- When the debtor requests to grant a lien of equal or superior status in favor of another creditor, as is common when securing post-petition DIP
- When secured creditors request to have the automatic stay lifted by the bankruptcy court

1 What is tipping?

In negotiations to get votes in impaired classes you might give impaired holders warrants or similar items at a high strike price in order to get their votes. Like pork belly in congress; just buying votes.

1 How to stop the blocking of the POR by a 33.4% owner?

Substantively consolidate. Only works in unsecured space as no collateral (secured can't be substantively consolidated).

Example: let's say there's a POR and Elliott (a very activist-oriented distressed fund) owns 33.4% of one of the impaired classes. Let's say Elliott doesn't like the POR. Maybe they want more of the re-organized equity. Elliott can block it unless they a) get crammed down (by the judge) or b) there's substantive consolidation (only if the impaired class they own 33.4% of is unsecured).

1 What's a BRC 1111(b) election?

Creditor waives their rights to an unsecured claim in exchange for 1) a lien equal to the face amount of the allowed claim and 2) a stream of payments with a gross amount equal to the face amount of the claim, but a PV equal to the lesser of the value of the collateral or the allowed claim.

1 What is small cap threshold?

\$500m. Want over this to avoid the small cap penalty (i.e. paying more for bonds due to illiquidity and wide bid/ask spreads).



1 Why would you do a post-conformation lockup?

To stop immediate slide in the share price which can lead to establishing lower bound. Post confirmation lockup refers to folks who hold the reorganized equity of the firm post-bankruptcy having to hold it for a period of time.

1 What are warrants?

Right to buy stock at a certain strike price.

1 Do back-end equities perform better than S&P?

Yes, especially after 2001. Back end means equities emerging from Chapter 11.

1 When are liquidation trusts used?

When there are lawsuits that the creditors want to pursue against third parties to increase overall recoveries. For example, in Iridium (satellite company) \$40m was put in trust from proceeds of operating assets, which could have been distributed to the unsecured creditors, but instead was used for legal battles. The litigation took years to resolve but got a much greater amount than what was invested (\$40m).

Second situation in which liquidation trusts are used involves resolution of claims against an estate. Reducing the number of pieces of the pie so everyone's share is bigger.